

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads	)		
to the	)	Docket No.	RM26-4-000
Interstate Transmission System	)		

**SUPPLEMENTAL COMMENTS OF THE
PENNSYLVANIA OFFICE OF CONSUMER ADVOCATE,
DELAWARE DIVISION OF THE PUBLIC ADVOCATE, AND
STATE OF NEW JERSEY, DIVISION OF THE RATE COUNSEL**

I. INTRODUCTION

The Pennsylvania Office of Consumer Advocate (PA OCA),¹ Delaware Division of the Public Advocate (DE DPA),² and State of New Jersey, Division of the Rate Counsel³ (collectively, the Joint Consumer Advocates or JCA) submit these Supplemental Comments⁴ in response to the Federal Energy Regulatory Commission’s (Commission’s or FERC’s) Advance Notice of Proposed Rulemaking (ANOPR)⁵ in the captioned docket.

¹ The PA OCA represents the interests of Pennsylvania utility consumers before the Commission. *See* 71 P.S. § 309-4 (outlining powers of Consumer Advocate to represent residential Pennsylvania utility consumers in FERC proceedings and federal courts).

² The DE DPA represents the interests of Delaware regulated utility consumers, including before the Commission. *See* 29 Del. C. § 8716(e).

³ New Jersey Rate Counsel is the administrative agency charged under New Jersey Law with the general protection of the interests of utility ratepayers. N.J.S.A. § 52:27EE- 46 et seq. Rate Counsel is explicitly empowered to represent the public interest in federal proceedings. N.J.S.A. §52:27EE-55.

⁴ The PA OCA and DE DPA submitted comments and reply comments in this docket. *See* Joint Consumer Advocate Comments, PA OCA and DE DPA, RM26-4 (Nov. 21, 2025); *see also* Joint Consumer Advocate Reply Comments, PA OCA, DE DPA, and Illinois Attorney General (IL OA), RM26-4 (Dec. 5, 2025).

⁵ *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025) (the Commission issued the ANOPR following a directive from the Secretary of Energy (“Secretary”) pursuant to section 203 of the Department of Energy Organization Act); *see also* the full text of the proposed ANOPR, *Ensuring the Timely and Orderly Interconnection of Large Loads*, Advance Notice of Proposed Rulemaking, Docket No. RM26-4-000 (Oct. 23, 2025).

In the ANOPR, FERC proposed to allocate 100 percent of network upgrade costs to large load customers.⁶ In response to this proposal, the following Supplemental Comments have been submitted in this docket:

- March 30, 2026: WIRES’ Supplemental Comments with attached Whitepaper titled “*The Risks of Cost Shifts in Serving Large Loads Under a Framework with Direct Allocation of Transmission Costs*” (WIRES Whitepaper);⁷
- April 15, 2026: Harvard Electricity Law Initiative’s (ELI’s) Supplemental Comments;⁸
- May 12, 2026: Transmission Access Policy Study Group’s (TAPS’) Supplemental Comments;⁹
- June 6, 2026: FirstEnergy Service Company’s (FirstEnergy’s) Supplemental Comments with attached Whitepaper titled “*A Proven Framework for a New American Problem*” (FirstEnergy Whitepaper);¹⁰ and
- June 8, 2026: Maven Solutions’ Supplemental Comments.¹¹

In response to the above-listed Supplemental Comments, the JCA submits these Supplemental Comments and respectfully requests that the Commission consider these Supplemental Comments when taking action this month in this docket.¹²

II. SUMMARY OF SUPPLEMENTAL COMMENTS OF WIRES, HARVARD ELI, TAPS, AND FIRSTENERGY

In the ANOPR, FERC proposed to allocate 100 percent of network upgrade costs to large load customers.¹³

⁶ ANOPR at P 25 (*see* Principal Eight proposing that load and hybrid facilities should be responsible for 100 percent of the network upgrades assigned to them through the interconnection studies).

⁷ WIRES Supplemental Comments, RM26-4 (Mar. 30, 2026).

⁸ Harvard ELI Supplemental Comments, RM26-4 (Apr. 15, 2026).

⁹ TAPS Supplemental Comments, RM26-4 (May 12, 2026).

¹⁰ FirstEnergy Supplemental Comments, RM26-4 (Jun. 6, 2026).

¹¹ Maven Solutions Supplemental Comments, RM26-4 (Jun. 8, 2026).

¹² On April 16, 2026, the Commission issued an Order providing Notice of its Intent to Act, stating that it will act by the end of June of 2026, on the comments that have been submitted. Order Regarding Intent to Act ¶ 4.

¹³ ANOPR at P 25 (*see* Principal Eight proposing that load and hybrid facilities should be responsible for 100 percent of the network upgrades assigned to them through the interconnection studies).

In its Supplemental Comments, WIRES argued that the “the ANOPR proposal to allocate 100 percent of network upgrade costs to large load customers” under a strict application of the Commission’s “higher of” rate policy creates “the potential for unintended cost shifts to retail customers under certain implementation scenarios.” WIRES acknowledged the importance of addressing stranded asset risk (but did not address it) and focused solely on the cost allocation risk associated within a framework that would solely direct assign the cost of network upgrades to large load customers, ignoring a disaggregated pricing framework.¹⁴

In response to WIRES, the Harvard ELI directed the Commission toward a potential “disaggregated” pricing model but did not go so far as to recommend that the Commission affirmatively adopt such a framework.¹⁵ Rather, the Harvard ELI stated that the Commission could consider a “disaggregated” pricing model and could require utilities to disclose disaggregated rates.¹⁶

Also, in response to WIRES, TAPS argued that FERC is not restricted to the “higher of” policy. TAPS argued that FERC developed its “higher of” rate policy decades ago and did not contemplate the current situation caused by data centers’ surging electricity demands on the grid, and that FERC has the statutory authority to change its rate policy.¹⁷ TAPS cited to the D.C. Circuit, which explained that the standard for FERC to depart from a past policy “is not an especially high bar: ‘it suffices that the new policy is permissible under the statute, that there are good reasons for

¹⁴ WIRES Supplemental Comments at 2.

¹⁵ Harvard ELI Supplemental Comments at 13.

¹⁶ *Id.*

¹⁷ TAPS Supplemental Comments at 9-10.

it, and that the agency believes it to be better, which the conscious change of course adequately indicates.’’^{18,19}

In its Supplemental Comments, FirstEnergy argued that an expansion rate plus embedded cost rate framework based on the natural gas interstate system (Expansion Rate Policy) does not raise a concern under FERC’s long-term prohibition on “and pricing”, but even if it does, the “and pricing” prohibition is FERC policy, not an appellate court-imposed rule. Appellate courts have addressed the “and pricing” prohibition by saying that “all transmission service...must be provided at a just and reasonable rate” but they have not categorically adopted a rule requiring FERC to apply the prohibition.²⁰ Hence, adopting the natural gas framework to electric transmission infrastructure would require neither statutory change nor a novel assertion of agency authority.²¹

The FirstEnergy Whitepaper explains that the Expansion Rate Policy would function as follows as per the existing natural gas framework (*JCA’s clarification additions shown in italics*):

- The hyperscale data center, *electric distributor*, and transmission owner would enter into a 15-year or longer agreement;

¹⁸ *Id.* (citing *Southwest Airlines Co. v. FERC*, 926 F.3d 851, 856 (D.C. Cir. 2019) (quoting *FCC v. Fox Television Stations, Inc.*, 556 U.S. 502, 515 (2009))).

¹⁹ TAPS argued two things should FERC decide not to change its “higher of” policy and chooses not to require upfront large load-funding of cost-causer network upgrades. *Id.* at 7-8, 10-11. First, TAPS argued that FERC must take action to ensure that retail level protections (e.g., minimum demand charges, minimum contract terms, exit fees, etc.) are consistently and properly reflected in FERC-jurisdictional transmission rates in all instances and require the parties to those agreements to clearly identify the impact on other customers before seeking to rely on the Mobile-Sierra presumption of reasonableness to avoid that presumption from becoming “a straw man behind which the [FERC] hides to evade its statutory duty of ensuring that the American consumer pays just and reasonable rates.” *Id.* at 7-8. Second, TAPS argued that which of the two rate choices – embedded costs with expansion costs rolled in or incremental expansion costs – is the permissible “higher” one will be case-specific – depending on the magnitude of incremental costs, the rolled-in transmission rate, the load in question, whether that load is sustained over a long period of time, etc. Hence, TAPS recommended again the “crediting mechanism” that it advanced in its initial comments as being both consistent with this “higher of” principle and more protective against cost-shifts caused by large load interconnections. Under that crediting mechanism, the large load would pay the upfront cost of any network upgrades, but it would have the opportunity to be credited back that full amount, so long as its transmission usage over time is sufficient to over the costs. *Id.* at 10-11.

²⁰ FirstEnergy Supplemental Comments, App’x A at 4, 6.

²¹ *Id.*, App’x A at 5.

- The agreement would require a data center customer to pay its standard pro-rata share of the existing zonal transmission rate, applying same tariff structure applicable to all transmission customers within the zone;
- The agreement would require a data center customer to pay an “expansion rate” designed to recover the costs of the network upgrades to the transmission system required to support the interconnection *between the electric distributor’s facilities and the transmission owner’s interconnecting facilities*;
- The expansion-facility costs would be depreciated on a straight-line basis over the term of agreement;
- The transmission owner’s return on equity, capital structure, and debt assumptions would mirror those already embedded in the incumbent zonal transmission rate, to avoid preferential treatment or punitive pricing;
- The agreement would require a data center customer to maintain creditworthy collateral support equal to the remaining unrecovered balance of the expansion facilities over the life of agreement to protect existing customers from residual exposure; and
- At end of term of agreement and the expansion facilities have been fully recovered through the expansion rate, the expansion facilities would transition into the integrated system rate base.²²

FirstEnergy further argued that additional structural protections could further strengthen this existing framework, specifically:

- The customer’s transmission-rate contribution could be calculated based on the higher of actual demand or a minimum contractual demand threshold, preventing cost-shifting due to underutilization (good for existing consumers).
- Or, expansion rate obligations could be reallocated annually as additional customers interconnect to the same facilities, reducing the cost burden borne by any individual participant over time.²³

In response to the FirstEnergy Whitepaper, Maven Solutions argues that FirstEnergy’s proposed solution is an end-run to maximize the amount of utility plant on which FirstEnergy, and other similarly situated transmission owners, can earn a return of and on the investment in incremental expansion facilities.²⁴

²² *Id.*, App’x A at 5.

²³ *Id.*

²⁴ Comments of Maven Solutions, Docket No. RM26-4 (filed June 8, 2026) at 5-6.

III. EXECUTIVE SUMMARY OF JCA'S SUPPLEMENTAL COMMENTS

The Commission should adopt the Expansion Rate Policy set forth in the FirstEnergy Whitepaper for incremental network upgrades, because it (1) presents a practical and legally acceptable pathway to ensure just and reasonable rates for all consumers in light of the rapid onset of voluminous interconnections of hyperscale data center large loads to the interstate transmission system; and (2) would be the lynchpin to effectuating the Ratepayer Protection Pledge²⁵ as to interstate transmission wires charges for incremental network upgrades, especially for network upgrades built as part of Supplemental Projects.²⁶ In the Ratepayer Protection Pledge, prominent

²⁵ The White House, Ratepayer Protection Pledge, March 4, 2026, available at <https://www.whitehouse.gov/articles/2026/03/ratepayer-protection-pledge/>; The White House, Fact Sheet: President Donald J. Trump Advances Energy Affordability with the Ratepayer Protection Pledge, March 4, 2026, available at <https://www.whitehouse.gov/fact-sheets/2026/03/fact-sheet-president-donald-j-trump-advances-energy-affordability-with-the-ratepayer-protection-pledge/>.

²⁶ Supplemental Projects are defined in the PJM Operating Agreement as:

[A] transmission expansion or enhancement that is not required for compliance with the following PJM criteria: system reliability, operational performance or economic criteria, pursuant to a determination by the Office of the Interconnection and is not a state public policy project pursuant to Operating Agreement, Schedule 6, section 1.5.9(a)(ii). Any system upgrades required to maintain the reliability of the system that are driven by a Supplemental Project are considered part of that Supplemental Project and are the responsibility of the entity sponsoring that Supplemental Project.

PJM OA § 1.42A.02.

Supplemental Projects are planned and executed subject to PJM OATT Attachment M-3 to address one or more of the following planning criteria:

1. NERC Reliability Standards (which includes Applicable Regional Entity reliability standards);
2. Individual Transmission Owner planning criteria as filed in FERC Form No. 715 and posted on the PJM website, provided that the Additional Procedures for the Identification and Planning of EOL Needs, set forth in section (d), shall apply, as applicable;
3. Criteria to address economic constraints in accordance with section 1.5.7 of the Operating Agreement or an agreement listed in Schedule 12-Appendix B;
4. State Agreement Approach expansions or enhancements in accordance with section 1.5.9(a)(ii) of the Operating Agreement; or
5. An expansion or enhancement to be addressed by the RTEP Planning Process pursuant to section (d)(2) of this Attachment M-3 in accordance with RTEP Planning Process procedures in Schedule 6 of the Operating Agreement.

PJM OATT, Attach. M-3 § (a).

hyperscale data center developers promised to “pay for all new power delivery infrastructure upgrades required to service their data centers, including adequate network upgrade costs to ensure that these expenses are not passed on to the ordinary household.”²⁷ The Expansion Rate Policy would effectuate that promise by requiring the large load customer seeking new transmission capacity to execute a long-term precedent agreement with the transmission owner obligating the customer to pay distinct charges: first, its pro-rata share of the embedded costs rate for the existing transmission system; and second, an incremental expansion rate specifically designed to recover the costs of the new expansion facilities required to serve that customer.²⁸ Such an agreement would align well with the principle of cost causation and avoid having existing customers subsidize the costs of network facilities from which existing customers derive no benefit commensurate to the benefits that large load interconnecting customers derive.²⁹

FirstEnergy advocates for this two-part rate structure based on a similar existing rate policy that FERC applies for interstate natural gas pipelines.³⁰ In the interstate natural gas framework, the Commission has developed an incremental pricing policy to “provide sufficient protection for captive customers and formally adopted incremental pricing as the default approach for new expansion projects.”³¹ Recent appellate decisions have affirmed the Commission’s determination that the principle of cost causation can be used to assign expansion-related costs to the

²⁷ Ratepayer Protection Pledge (Mar. 4, 2026), available at: <https://www.whitehouse.gov/releases/2026/03/ratepayer-protection-pledge/>.

²⁸ Comments of FirstEnergy, Docket No. RM26-4 (June 5, 2026), App’x A at 5-6.

²⁹ *Id.*, App’x A at 4 (citing *Gas Transmission Northwest LLC v. FERC*, 157 F.4th 674 (5th Cir. 2025); *Antero Resources Corp. v. FERC*, 156 F.4th 654 (D.C. Cir. 2025)).

³⁰ *Id.*

³¹ *Id.*, App’x A at 4 (citing 88 FERC ¶ 61,227, Docket No. PL99-3-000 (Sept. 15, 1999)).

interconnecting customer rather than imposing such costs on native customers who derive no corresponding benefit from the network upgrades.³²

The Commission can adopt the Expansion Rate Policy and apply it to incremental transmission network upgrades notwithstanding any distinctions between interstate pipeline and interstate transmission facilities. The Commission authorizes expansion facility rates for an interstate natural gas pipeline if it demonstrates “that rolling in the costs associated with the construction and operation of new facilities will not result in existing customers subsidizing the expansion.”³³ The network benefits associated with additional marginal capacity on both an interstate natural gas pipeline system and a high voltage regional transmission grid are, to a large extent, presumed to inure to all interconnected customers.³⁴ The primary focus of the inquiry across both industry frameworks is the same: would rolled-in rate treatment force existing customers to subsidize the construction of expansion facilities? The answer is “yes” for large load customers interconnecting to the high voltage transmission grid under FERC’s existing policy of charging the higher of either rolled-in ratemaking treatment (as expanded) or incremental expansion rates.³⁵

To be clear, rolled-in-rate treatment would force existing customers to subsidize the construction of expansion facilities. At the same time, requiring large loads to only pay an incremental rate for the interconnection, as the WIRES Whitepaper emphasizes, results in native

³² *Id.*, App’x A at 4 (citing *Gas Transmission Northwest LLC v. FERC*, 157 F.4th 674 (5th Cir. 2025); *Antero Resources Corp. v. FERC*, 156 F.4th 654 (D.C. Cir. 2025)).

³³ See, e.g., *ANR Pipeline Co.*, 171 F.E.R.C. P61,233, ¶ 21 (2020) *vacated on other grounds ANR Pipeline Co.*, 180 F.E.R.C. P 61119 (2022)

³⁴ See *Old Dominion Elec. Coop. v. FERC*, 898 F.3d 1254, 1260-61 (D.C. Cir. 2018) (finding that regional high voltage transmission grids have significant benefits both at the regional and at the local level); see also *Antero*, 156 F.4th at 661-62 (“When the [natural gas interstate] system is operating below pre-expansion capacity, the expansion facilities do not generate any additional costs and at times even generate cost savings.”).

³⁵ See *Duke Energy Carolinas, LLC*, 193 F.E.R.C. P61,237, ¶¶ 16-18 (2025) (rejecting a utility’s proposal for incremental cost treatment due to a lack of cost support).

customers paying more, no matter what.³⁶ An incremental rate under a strict application of the Commission’s “higher-of” policy may insulate native load from near-term harms, but it deprives native load of the long-term rate benefits from new large load customers.³⁷

In short, a strict application of FERC’s “higher of” policy no longer protects native customers from expansion-related costs, as it was initially intended.³⁸ Indeed, current cost structures require existing customers to unduly bear short-term costs and long-term costs and risks due to (1) the unique load ramping characteristics of data center large loads,³⁹ and (2) the execution of electric service agreements that fall far short of the life of installed transmission assets.⁴⁰ Incremental pricing alone – where the large load pays for expansion facilities – results in large load customers avoiding the embedded cost of service for existing infrastructure, even though those facilities benefit the large load customer.⁴¹ Immense opportunity exists to benefit existing transmission customers through large load customers’ paying their share of embedded costs transmission rates, offsetting already high transmission rates.

Given the above, the JCA respectfully request that the Commission consider and adopt the Expansion Rate Policy, as articulated by the FirstEnergy Whitepaper, for network upgrades, especially for network upgrades built as part of Supplemental Projects.

³⁶ Comments of WIRES, Docket No. RM26-4 (Mar. 30, 2026), App’x A at 19-20.

³⁷ *Compare NorthWestern Corp.*, 147 FERC P61,171, ¶ 53 (2014) (“a public utility may charge the higher of: (1) an average-cost transmission rate reflecting the average cost of the transmission grid, including the costs of expanding the grid, or (2) an incremental-cost transmission rate reflecting the costs of the particular service involved”) *with* Comments of WIRES, RM26-4 (Mar. 30, 2026), App’x A at 15 (residential bills increase under embedded or up-front CIAC compensation structures).

³⁸ *Pa. Elec. Co.*, 60 F.E.R.C. P61,034, 61,126-27 (1992).

³⁹ For example, if a transmission owner must construct facilities to meet a large load customer’s maximum anticipated peak demand of 1,000 megawatts (MW), but that customer will not reach that peak for five years, native load is forced to subsidize the capacity associated with the customer’s maximum anticipated peak demand until such time as that demand is reached, resulting in unjust and unreasonable rates.

⁴⁰ WIRES Supplemental Comments, App’x A at 2 (graphically depicting the long-term risks shifted to native load customers).

⁴¹ *Duke Energy Carolinas*, ¶ 18.

IV. SUPPLEMENTAL COMMENTS

A. Summary of FERC's existing "higher of" rate policy.

The Commission has adopted a "higher-of" policy for high voltage transmission network upgrades:

Under the Commission's transmission pricing guidelines, a public utility may charge the higher of: (1) an average-cost transmission rate reflecting the average cost of the transmission grid, including the costs of expanding the grid, or (2) an incremental-cost transmission rate reflecting the costs of the particular service involved."). The "higher of" policy effectuates the Commission's prohibition against "and" pricing, under which "the utility is not entitled to charge for both the incremental costs of the grid expansion 'and' the embedded costs of the grid."⁴²

The Commission has a long-standing policy regarding cost allocation for transmission customers subject to a zonal rate design, that "customers located in each zone pay rates based on the cost of the transmission facilities located in that zone."⁴³ Further, that "any degree of integration in the transmission network is sufficient to establish that a facility is a network facility and that its costs must be rolled into transmission rates and not directly assigned to specific customers."⁴⁴ The Commission has referred to this as a "presumption" of benefit to the entire system.⁴⁵ Under this framework, the Commission has traditionally examined "the distribution of benefits, not the original impetus for the project" to ensure compliance with the cost causation principle.⁴⁶ Though the JCA acknowledge that the Commission has previously considered and rejected a proposal to consider network benefits on a customer-by-customer basis,⁴⁷ this presumption does not hold under the anticipated size and characteristics of new large load customers.

⁴² *NorthWestern Corp.*, 147 FERC P61,171, ¶ 53 (2014)(emphasis in the original).

⁴³ *Neb. Pub. Power Dist. v. FERC*, 957 F.3d 932, 935 (8th Cir. 2020); *Paragould*, 144 F.4th at 299-95.

⁴⁴ *Cty. of Anaheim*, 113 F.E.R.C. P61,091, ¶ 34 (2005).

⁴⁵ *Midwest ISO Transmission Owners v. FERC*, 373 F.3d 1361, 1369-70 (D.C. Cir. 2004) (citing *Entergy Services v. FERC*, 319 F.3d 536, 543 (D.C. Cir. 2003)).

⁴⁶ *Coal. of MISO Transmission Customers v. FERC*, 45 F.4th 1004, 1019 (D.C. Cir. 2022).

⁴⁷ *Paragould Light & Water Comm'n v. FERC*, 144 F.4th 287 (D.C. Cir. 2025).

Under “[t]he Commission’s long-standing policy [which] ‘favors a roll-in of rates on integrated transmission systems, *absent special circumstances*,’”⁴⁸ the Commission has the flexibility to determine when special circumstances exist to provide exceptions to this principle.

B. FERC should adopt the Expansion Rate Policy for incremental network upgrades caused by large load interconnections and doing so may not require a rate policy change.

The WIRES Whitepaper shows how the current “higher of” rate policy to meet the needs of new large load interconnections is insufficient and presumes that there will be no change in policy. TAPS argues that a new rate policy is needed and well within FERC’s discretion “[g]iven the new and unique challenges posted by large load interconnections due to their size, rapid pace of development, and the enormous stranded cost risks they post to other customers.”⁴⁹

While FERC certainly has the discretion to change its rate policy in these circumstances, it may not need to. Under its existing rate policy, the Commission has the flexibility to determine when special circumstances exist⁵⁰ to provide exceptions to the “higher of” rate policy. Special circumstances exist today due to the high volume of large load customers seeking to interconnect to the transmission system and the speed to power demanded by them, requiring significant network facilities to be constructed near immediately. These are special circumstances which require a tailored, flexible approach that is not narrowly constrained by a presumption of system-wide benefits.

⁴⁸ *Mun. Energy Agency v. P.S.C.*, 190 F.E.R.C. P61,158, ¶ 9 (2025) (quoting *Buckeye Power, Inc. v. Am. Transmission Sys., Inc.*, Opinion No. 533, 148 FERC P 61,174, at P 12 (2014), *order on reh’g*, 151 FERC P 61,091 (2015)) *aff’g* *Mun. Energy Agency v. P.S.C.*, 189 F.E.R.C. P61,099 (2024) (emphasis added).

⁴⁹ *Id.* at 10.

⁵⁰ *See supra* n. 48.

A broader view of how the benefits of expansion facilities are spread would enable greater flexibility to protect native load/existing customers.⁵¹ A majority of local transmission facility investment (i.e., Supplemental Projects) to connect and serve new large loads – though nominally providing system benefits to existing users⁵² – is not efficient or cost effective for existing customers. These upgrades distribute more harm than benefit to existing customers, similar to the D.C. Circuit’s holding in *Gas Transmission Nw.*⁵³ In the natural gas context, the appellate courts have affirmed the Commission’s rejection of rolled-in treatment for interstate natural gas expansion facilities that are caused by an incremental customer interconnections and do not accrue additional marginal benefits to existing customers.⁵⁴

To illustrate further by using a hypothetical, if a transmission utility requested authorization to build a new switchyard and high voltage transmission lines connecting that switchyard to one or more existing substations, but where the existing infrastructure is operable and in good condition – and does not experience and is not forecasted to experience – reliability violations, then the utility should not be permitted to build that infrastructure. Put simply, this hypothetical scenario is best described as “gold plating,” and provides only *de minimis*, cost ineffective marginal value to the utility’s transmission customers.⁵⁵ However, this hypothetical is representative of the fact patterns created by large load customer interconnections where, but-for the large load customer’s interconnection, there would be no reliability violations requiring new infrastructure. Furthermore,

⁵¹ See *Ill. Commerce Comm’n*, 576 F.3d at 476 (“a claim of generalized system benefits is not enough”) (quoting *Transcontinental Gas Pipe Line Corp.*, 112 F.E.R.C. P 61,170, 61,924-61,925 (2005)).

⁵² See *Mansfield Mun. Elec. Dept. v. New England Power Co.*, 97 FERC ¶ 61,134, 61,613-14 (2001), *order on reh’g*, 98 FERC ¶ 61,115 (2002).

⁵³ *Gas Transmission Nw.*, 157 F.4th 674, 704 (5th Cir. 2025).

⁵⁴ *Id.*

⁵⁵ *Cf. Ill. Commerce Comm’n v. FERC*, 576 F.3d 470, 477 (7th Cir. 2009) (“No doubt there will be *some* benefit to the midwestern utilities just because the network *is* a network, and there have been outages in the Midwest. But enough of a benefit to justify the costs that FERC wants shifted to those utilities?”) (emphasis in original).

the new large load customer may monopolize the incremental transmission capacity needed to serve them, meaning that the new pathway for electricity that ought to provide reliability and operational benefits is consumed by the large load customer's interconnection.⁵⁶

Importantly, the cost causation principle applies when, “without the expectation of [a customer's] contributions the facilities might not have been built, or might have been delayed.”⁵⁷ In short, “but-for” the new customer's interconnection, the facilities might not have been built or have been delayed to continue to reliably serve existing customers. Where a large load customer's interconnection to the transmission system is the “but for” cause for system expansion and/or network upgrades, native load does not cause the need for such expansion facilities and nothing indicates that their payment of these incremental costs is necessary to ensure construction of the expansion facilities in a reasonable amount of time. The Ratepayer Protection Pledge seeks “to ensure that these expenses are not passed on to the ordinary household.”⁵⁸ The cost assurance provided under the Ratepayer Protection Pledge is a strong indication that the largest data center developers – key drivers of the growth in network expansion facilities – necessitate and can support direct assignment of the costs of the transmission network upgrades without requiring native customers to pay for such costs. The Commission's adoption of the Expansion Rate Policy would be the lynchpin to effectuating the Ratepayer Protection Pledge as to incremental network upgrades.⁵⁹

⁵⁶ By way of an analogy, this is as if an interstate highway was constructed – paid for by taxpayers nation-wide – where the only exit was into the parking lot of a business. *See also Paragould Light & Water Comm'n v. FERC*, 144 F.4th 287, 294-95 (D.C. Cir. 2025) (providing that the Commission can consider unquantifiable system benefits).

⁵⁷ *Ill. Commerce Comm'n*, 576 F.3d at 476.

⁵⁸ Ratepayer Protection Pledge (Mar. 4, 2026), available at: <https://www.whitehouse.gov/releases/2026/03/ratepayer-protection-pledge/>.

⁵⁹ *Infra*, Sec. II.C.

Under the Commission's transmission pricing policy statement, the Commission specifically endorsed the use of disaggregated incremental pricing and embedded pricing:

The flexibility that we endorse in this Policy Statement regarding cost disaggregation, among other things, addresses the industry's underlying concerns regarding "or" pricing. That is, while we cannot justify pricing that purports to recover two measures of a single cost, allowing the entity to account for costs on a disaggregated basis would permit separate pricing for separate facilities or small groupings of facilities. Hence, we would entertain proposals for flow-based line-by-line "or" pricing. This would permit the use of embedded costs for some lines when this is the higher of embedded or incremental costs, and the use of incremental cost for other lines when this is the higher of embedded or incremental costs.⁶⁰

The Commission has recently approved a pricing structure which utilized "and" pricing.⁶¹

The Expansion Rate Policy articulated the FirstEnergy Whitepaper is consistent with the Commission's *Transmission Pricing Policy*.⁶² The Commission's *Transmission Pricing Policy* clearly provides that the use of a disaggregated approach is "or" pricing because it does not charge the same customer for the same facilities twice.⁶³ Because a line-by-line incremental rate would exclude the expansion transmission facilities from the embedded network rate base, the large load customer would be charged once for using the expansion facilities (via the incremental rate) and once for using the existing transmission network (via the embedded rate).⁶⁴ Hence, there is no violation of the prohibition against "and" pricing.⁶⁵

⁶⁰ *Inquiry Concerning the Commission's Pricing Policy for Transmission Services Provided by Public Utilities Under the Federal Power Act*, 69 FERC P61,086, n. 34 (1994) (*Transmission Pricing Policy*). The Commission clarified: "Under a line-by-line pricing method, the costs of each transmission line, or segment, are allocated to individual transmission transactions, based on the usage each transaction makes of each line or segment." *Id.* at n. 30.

⁶¹ See *Public Serv. Co.*, 175 F.E.R.C. P61,111, ¶ 64 (2021) ("The Commission has established that embedded and incremental pricing models can be used simultaneously for related projects. Leeward states that it opposes the 'mixing and matching' of incremental and embedded pricing. However, in the Transmission Pricing Policy Statement, the Commission embraced a flexible approach to cost disaggregation and specifically noted that line-by-line 'or' pricing is permissible. The Commission stated such proposals 'would permit the use of embedded costs for some lines when this is the higher of embedded or incremental costs, and the use of incremental cost for other lines when this is the higher of embedded or incremental costs.'") *modified on other grounds Public Serv. Co.*, 177 F.E.R.C. P61,094 (2021).

⁶² See *supra* n. 60.

⁶³ *NorthWestern Corp.*, ¶ 53.

⁶⁴ *NorthWestern Corp.*, ¶ 53.

⁶⁵ Compare with Maven Solutions Supplemental Comments, RM26-4 (June 8, 2026) at 4-5.

C. If a rate policy change is required, FERC can and should adopt a change.

If FERC concludes that adopting the Expansion Rate Policy necessitates a change in rate policy, FERC certainly can and should do so. As FirstEnergy argued, the strict prohibition on “and pricing” is FERC policy, not an appellate court-imposed rule. Appellate courts have addressed the “and pricing” prohibition by saying that “all transmission service...must be provided at a just and reasonable rate” but they have not categorically adopted a rule requiring FERC to apply the prohibition.⁶⁶ As TAPS argued, the standard for FERC to depart from a past policy is not an especially high bar: it suffices that the new policy is permissible under the statute, that there are good reasons for it, and that the agency believes it to be better, which the conscious change of course adequately indicates.⁶⁷

The bar is met here. As FirstEnergy states, an incremental transmission rate for facilities to interconnect and serve new large load customers “would require neither statutory change nor a novel assertion of agency authority.”⁶⁸ Moreover, there is good reason for it, it will be better for consumers, and it will be a conscious change of approach. Indeed, the high volume of large load customers seeking to interconnect to the transmission system and the speed to power demanded by them, require significant network facilities to be constructed near immediately. At the same time, current cost structures require existing customers to unduly bear short-term costs and long-term costs and risks due to (1) the unique load ramping characteristics of data center large loads,⁶⁹

⁶⁶ FirstEnergy Supplemental Comments, App’x A at 4, 6.

⁶⁷ TAPS Supplemental Comments at 9-10 (citing *Southwest Airlines Co. v. FERC*, 926 F.3d 851, 856 (D.C. Cir. 2019) (quoting *FCC v. Fox Television Stations, Inc.*, 556 U.S. 502, 515 (2009))).

⁶⁸ FirstEnergy Supplemental Comments, App’x A at 5.

⁶⁹ For example, if a transmission owner must construct facilities to meet a large load customer’s maximum anticipated peak demand of 1,000 megawatts (MW), but that customer will not reach that peak for five years, native load is forced to subsidize the capacity associated with the customer’s maximum anticipated peak demand until such time as that demand is reached, resulting in unjust and unreasonable rates.

and (2) the execution of electric service agreements that fall far short of the life of installed transmission assets.⁷⁰ These are special circumstances which require a rate policy change.

If FERC decides to change its rate policy, it should not adopt the credit mechanism advanced by TAPS and Harvard ELI⁷¹ over the Expansion Rate Policy for incremental network upgrades built as part of Supplemental Projects. When compared with the Expansion Rate Policy, such a mechanism would fall short of meeting the objective of Ratepayer Protection Pledge for data center developers to pay the full cost of network upgrades required to serve them.⁷² To the extent that the Commission finds some merit in a crediting mechanism concept, the Commission should consider for Supplemental Projects the structure advanced by FirstEnergy which would include an annual reallocation of expansion rate obligations as additional customers interconnect to the same facilities, reducing the cost burden borne by any individual participant over time.⁷³

Where incremental network upgrades to accommodate a customer interconnection are involved, the Expansion Rate Policy maximizes benefits to existing customers without shifting unnecessary risks.⁷⁴

D. The Expansion Rate Policy can apply to incremental network upgrades built as part of Supplemental Projects, although the rate policy may have useful application for RTEP facilities and further consideration is warranted there.

The FirstEnergy Whitepaper does not specifically state whether it would apply to local or regional transmission facilities.⁷⁵ Impliedly, the FirstEnergy Whitepaper advocates for an Expansion Rate Policy for local expansion transmission facilities, by way of its reference to a zonal

⁷⁰ WIRES Supplemental Comments, App'x A at 2 (graphically depicting the long-term risks shifted to native load customers).

⁷¹ *Id.* at 11; Comments of Harvard ELI at 10-12.

⁷² Ratepayer Protection Pledge.

⁷³ FirstEnergy Supplemental Comments, App'A at 5.

⁷⁴ *Id.*, App'x A at 3.

⁷⁵ *Id.*, App'x A at 5-6.

transmission rate.⁷⁶ The JCA submit support for the Expansion Rate Policy as it applies at the local level for Supplemental Projects.

The Commission should adopt the Expansion Rate Policy as it will hold native customers harmless during system expansions built as Supplemental Projects and, to the extent possible, provide benefits to existing customers as a result of the new load interconnection.⁷⁷ The Commission should require transmission owners to adopt a line-by-line incremental pricing mechanism for the expansion facilities necessary to interconnect and serve new large load customers and ensure that those customers still contribute to the embedded cost of the high voltage transmission grid. This paradigm produces the most benefit for native load, without forcing them to bear inequitable short- and long-term costs or risks associated with those facilities.

One key feature of the Expansion Rate Policy is providing a negotiated rate structure for the expansion facility rate over the duration of a long-term contract.⁷⁸ Under the proposal, the Commission would impute the same ratemaking assumptions used to derive the embedded network transmission rate while depreciating the cost of the facilities over the duration of the contract.⁷⁹ The most critical component is that the cost of the facilities would be depreciated over the life of the contract. Under the existing embedded cost framework, the temporary rate relief native load customers will see between when the large load customer reaches its maximum anticipated peak demand and when the electric service agreement terminates, turns into a intergenerational obligation to pay for the incremental facilities over their useful lives; there is no

⁷⁶ *Id.* at 5.

⁷⁷ *Compare Pa. Elec. Co.*, 60 F.E.R.C. at 61,126 (1992) (“In Penelec’s case, the numbers show that not only will the application of the Commission’s ‘or’ condition hold Penelec’s native-load customers harmless, in fact it will benefit Penelec’s native load.”) *with Antero*, 156 F.4th at 662 (“When the system is operating below pre-expansion capacity, the expansion facilities do not generate any additional costs and at times even generate cost savings.”).

⁷⁸ FirstEnergy Supplemental Comments, App’x A at 5.

⁷⁹ *Id.*

accelerated depreciation which ensures that the large load customer will fully pay for its facilities, instead of just contributing to the overall embedded costs.⁸⁰

While an Expansion Rate Policy should be considered at the regional level in addition to the local level, the JCA recommend that the Commission prioritize such a framework for expansion rates to recover the local, zonal costs for facilities needed to connect and serve new large load customers.

Maven Solutions' Supplemental Comments focuses on Order 1920's architecture for the proposition that transmission upgrades may benefit the regional grid, which is not applicable to the incremental network upgrades built as part of Supplemental Projects. At PJM, Order 1000-based projects are included in the Regional Transmission Expansion Plan (RTEP) under PJM's open access transmission tariff and the costs of these projects are allocated on a regional basis,⁸¹ whereas Supplemental Projects are included under Attachment M-3 of the same and allocated entirely intra-zonally.⁸² Attachment M-3 Supplemental Projects are not subject to the same level of scrutiny by PJM as RTEP projects,⁸³ but are the types of projects which are designed to meet customer needs, such as the interconnection and service of new large load customers, and thus can include network upgrade facilities.⁸⁴

⁸⁰ WIRES Supplemental Comments, App'x A at 2 (graphically depicting the long-term risks shifted to native load customers).

⁸¹ See PJM OATT, Sch. 12.

⁸² See PJM OATT, Attach. M-3.

⁸³ See *Monongahela Power Co.*, 162 F.E.R.C. P61,129, ¶¶ 100-15 (2018) (describing necessary modifications to PJM's Supplemental Project planning processes without requiring full-scope RTEP review of proposed projects).

⁸⁴ PJM OATT, Attach. M-3 § (a) ("Each Transmission Owner shall be responsible for planning and constructing in accordance with Schedule 6 of the Operating Agreement as provided in this Attachment M-3, to the extent applicable...(ii) Supplemental Projects, as defined in section 1.42A.02 of the Operating Agreement"). Under Section 1.42A.02 of the PJM Operating Agreement, Supplemental Projects are "a transmission expansion or enhancement that is not required for compliance with the following PJM criteria: system reliability, operational performance or economic criteria, pursuant to a determination by the Office of the Interconnection and is not a state public policy project pursuant to Operating Agreement, Schedule 6, section 1.5.9(a)(ii). Any system upgrades required to maintain the reliability of the system that are driven by a Supplemental Project are considered part of that Supplemental Project and are the responsibility of the entity sponsoring that Supplemental Project."

That said, the JCA support further consideration of the application of an expansion cost structure in the context of RTEP Projects and recognizes that further legal and analytical complexity is required. The JCA will address solutions in Comments to the Maryland Office of People’s Counsel complaint at docket EL26-63.

V. CONCLUSION

The Joint Consumer Advocates respectfully request that the Commission consider these comments. The Expansion Rate Policy (i.e., expansion plus embedded cost framework) is necessary to effectuate and is consistent with cost causation, the Commission’s existing *Transmission Pricing Policy*, and the data center community’s Ratepayer Protection Pledge. Therefore, the Joint Consumer Advocates encourage the Commission to affirmatively adopt this pricing model to be applicable for new large loads and Supplemental Projects when it determines to undertake further action at this docket.

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